1st Quarter Life Assurance Report for 2017

INSURANCE AND PENSIONS COMMISSION

(IPEC)

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Definition of Terms

CEE	Central & Eastern Europe
GWP	Gross Written Premium
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/Commission	Insurance & Pensions Commission
IMF	Insurance Marketing Firms
IGRM	Integrated Grievance Redress Mechanism
IGCC	Integrated Grievance Call Centre
Q1	1st Quarter
Q2	Second Quarter
Q3	Third Quarter
Q4	Fourth Quarter
YoY Growth	Year on year growth
TCF	Treating Customers Fairly
Prescribed Assets	Prescribed Securities as defined by Insurance Act [Chapter 24:07]
Mar 16	March 2016
Mar 17	March 2017
H1	Half Year
Var	Variance

Please Note **All Monetary Figures are in USD and in Thousands (000).**

Executive Summary

The life insurance sector generally showed signs of resilience and stability given the challenging operating environment for the period under review. The industry was compliant with the minimum capital requirement of US$2 million for both direct assurers and life reinsurers. The Commission continues to encourage players to be prepared for the introduction of the new minimum capital requirements to be implemented in the year 2018.

Premium income reduced from $88million reported in the quarter ended March 2016 to the current $82million. Claim payments were $44million from the previous $47million. The Commission monitors the industry's claims turnaround periods as a prudential issue.

Total costs grew by 2% to the current $68million due to higher claims and administration expenses. Resultantly, the technical profit fell from $21million to the current $14million.

The total assets grew by 10% from US$1,5 billion as at March 2016 to the current US$ 1, 659 billion.This was attributable to increased uptake of equities and prescribed assets.

In terms of Statutory Instrument 24 of 2016, life assurance players are required to invest 7.5% of their total assets in prescribed assets. For the quarter under review, the industry was compliant at 14% from 13% as at 31 March 2016.

Although Life Reinsurers are now writing both short and long term business, this report focuses on statistics in respect of life assurance business.

The industry was reportedly made up of 1481 agents, 11 direct life companies and 4 composite reinsurance companies.

For a summarised key financial indicators and trends, see table 1 below:

Table 1: Financial Summary of the Life Assurance industry - 31 March 2017

Key Financial Indicators	Assurers($000)						Ressurers($000)					
	Mar,16	Jun,16	Sept,16	Dec,16	Mar,17	YoY Growth	Mar,16	Jun,16	Sept,16	Dec,16	Mar,17	YoY Growth
Premium Income	86,137	173,331	252,452	340,806	81,361	-6%	1,444	3,532	4,684	5,915	1,116	-23%
Claims ($000)	46,295	99,639	146,340	190,898	43,111	-7%	1,001	1,834	2,263	1,877	591	-41%
Operating Expenses	15,065	27,854	56,877	86,950	20,091	33%	293	770	1,023	1,442	280	-4%
Commissions	3,828	7,498	11,832	16,439	4,084	7%	357	794	1,049	1,339	233	-35%
Total Costs	65,188	136,745	215,051	294,287	67,286	3%	1,651	3,398	4,335	4,658	1,104	-33%
Technical Profit	20,949	36,586	37,401	46,519	14,075	-33%	-213	134	349	1,257	12	-106%
Expense Ratio	22%	20%	27%	30%	30%	35%	45%	44%	44%	47%	46%	2%
Claims Ratio	54%	57%	85%	56%	53%	-2%	69%	52%	48%	32%	53%	-23%
Combined Ratio	76%	79%	98%	86%	83%	9%	114%	96%	92%	79%	99%	-13%
Total Assets	1,499,742	1,452,496	1,474,146	1,639,216	1,658,817	11%	34,742	35,055	52,651	35,665	36,578	5%
Current Assets	337,499	314,231	267,289	342,750	322,225	-5%	20,514	22,991	31,620	20,296	18,744	-9%
Current Liabilities	102,283	119,491	60,589	1,428,101	83,689	-18%	10,270	15,519	14,979	6,234	10,176	-1%
Total Liabilities	1,229,838	1,238,922	1,255,416	1,370,314	1,385,292	13%	15,576	15,758	25,595	14,283	14,681	-6%
Free Capital	270,171	213,573	218,730	268,902	273,525	1%	19,166	19,397	27,056	21,382	21,897	14%
Liquidity/Current Ratio	330%	263%	441%	24%	385%	17%	200%	148%	211%	326%	184%	-8%
Capital to liability Ratio	22%	17%	17%	20%	20%	-10%	123%	123%	106%	150%	149%	21%
Prescribed Assets	194,966	169,654	179,996	169,621	228,939	17%	2,085	682	803	1,873	2,562	23%
Prescribed Asset Ratio (%)	13%	14%	15%	12%	14%	6%	6%	4%	1.50%	13%	7%	17%

PART A

LIFE ASSURANCE

1. Architecture of the Life Insurance Sector

Table 2 below shows the number of registered primary long-term assurers and re-assurers for the period ended March 2017.

Table 2: Number of Insurers and Reinsurers

	March 2016	March 2017
Primary insurers	12	11
Reinsurers	3	4
Total	15	15

1.1. Life Assurance Agencies

It is a requirement for all insurance agents employed by a company to be registered in terms of the Insurance Act [Chapter: 24:07], failure of which statutory penalties will be incurred. As at 31st March 2017, life companies had 1481 agencies as shown in table 3, below:

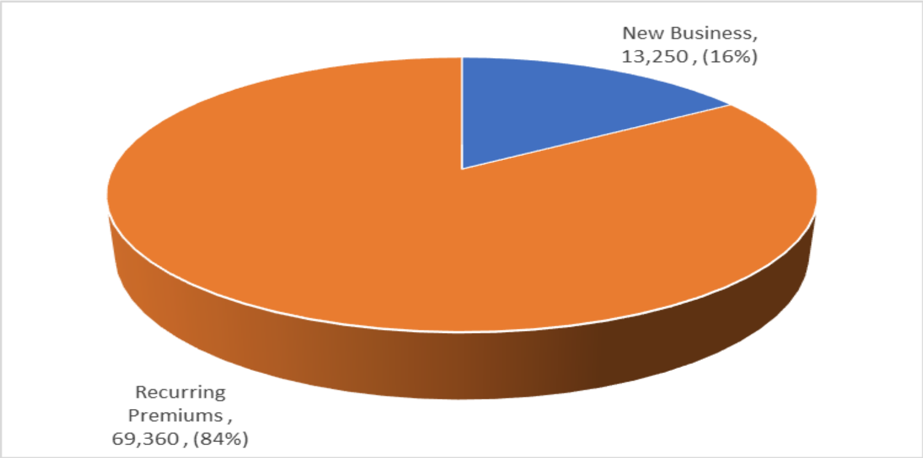
Table 3: Life insurers Agency statistics as at 31 March 2017

Co. Name	Corporate Agents		Individuals Agents		
	Fully Registered	Provisionally Licensed	Fully Registered	Provisionally Licensed	Total
CBZ Life	**4**	**-**	**33**	48	85
Econet Life	-	-	-	-	-
Evolution Health & Life	**-**	**-**	**-**	-	-
Fidelity Life Assurance	-	-	9	16	25
First Mutual Life	**-**	**-**	**118**	98	216
Getsure Life Assurance	1	-	30	4	35
Heritage Life	**-**	**-**	**2**	13	15
Nyaradzo Life Assurance	5	-	220	33	258
Old Mutual Life Assurance	**12**	**-**	**214**	47	273
ZB Life Assurance	-	-	31	280	311
Zimnat Life Assurance	**-**	**-**	**145**	118	263
Total	22	-	802	**657**	**1,481**

1.2. Business Composition by Company for the quarter ended 31st March 2017

For the current review period, recurring business contributed 84% of total business whilst the balance was new business. This may be attributable to premium affordability constraints and exclusion of the ever-growing informal sector. Therefore, the Commission encourages innovation by sector players in line with the micro insurance strategy (See Figure 1, below).

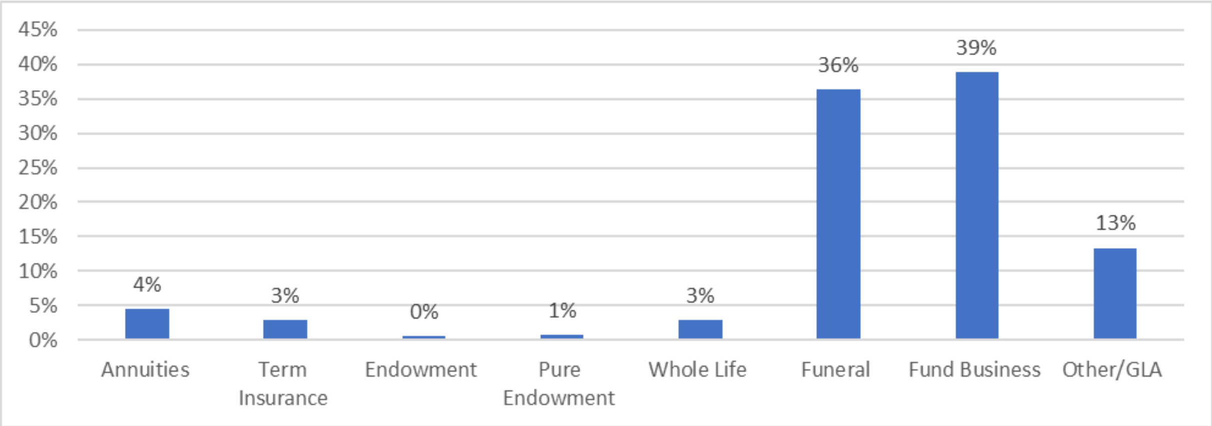
Figure 1: Business Composition by Company for the quarter ended 31 March 2017.



1.3. Business Composition by Class of product

For the current reporting period, fund business, funeral assurance and group life assurance business contributed 88% to premium income. As highlighted above, players need to diversify their product menu to limit overreliance on fewer income streams. (See Figure 2 and Annexure 4, below)

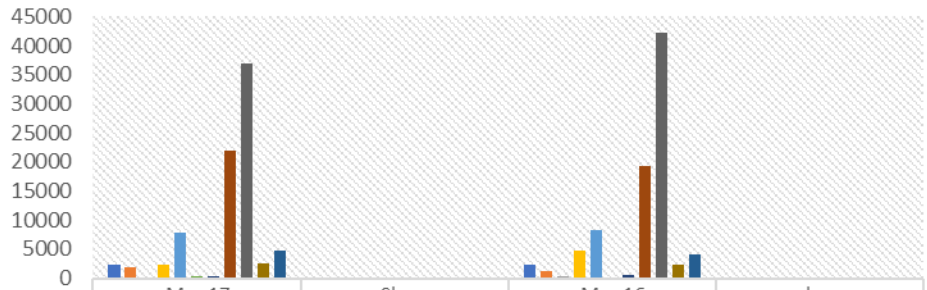
Figure 2: Business composition by product line - 31 March 2017



1.4. Premium Income Distribution

For the period ending 31 March 2017, four players namely FML, Old Mutual, Zimnat and Nyaradzo have a combined market share of 88% as illustrated in figure 3 below, making our industry more of an oligopoly.

Figure 3: Premium Income Distribution for the quarter ended 31 March 2017

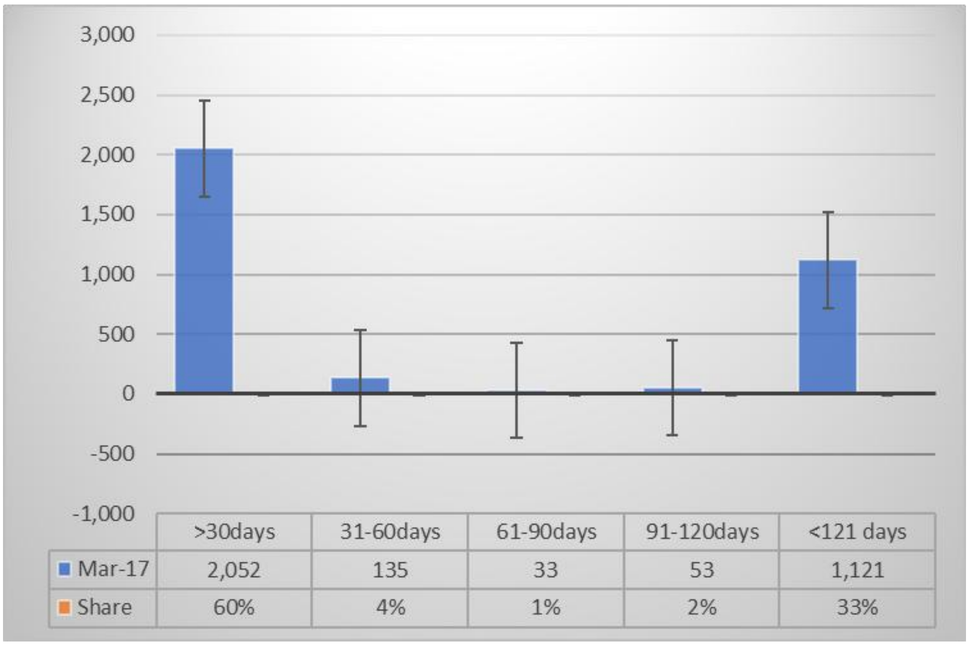


	Mar-17	Share	Mar-16	share
CBZ	2424	3%	2408	3%
Econet	1823	2%	1154	1%
Evolution	135	0%	284	0%
Fidelity	2278	3%	4832	6%
FML	7,793	10%	8286	10%
Getsure	379	0%	175	0%
Heritage	437	1%	604	1%
Nyaradzo	21,880	27%	19365	23%
Old Mutual	36,839	45%	42288	49%
ZB	2642	3%	2275	3%
Zimnat	4,731	6%	4136	5%

1.5. Claims Age Analysis

Reported claims aged statistics showed that some players reported claims in excess of 121 days whilst the majority had claims creditors aged in excess of the 30 day period. In terms of the Insurance Act (Chapter 24:07) it is a serious offence for players to fail to pay legitimate claims which warrants licence withdrawal. The Commission expects life insurers to pay legitimate claims within 14days after a claim is lodged and 48hours for funeral business.

Figure 4: Claims Aged Analysis as at 31 March 2017



1.6. Earnings

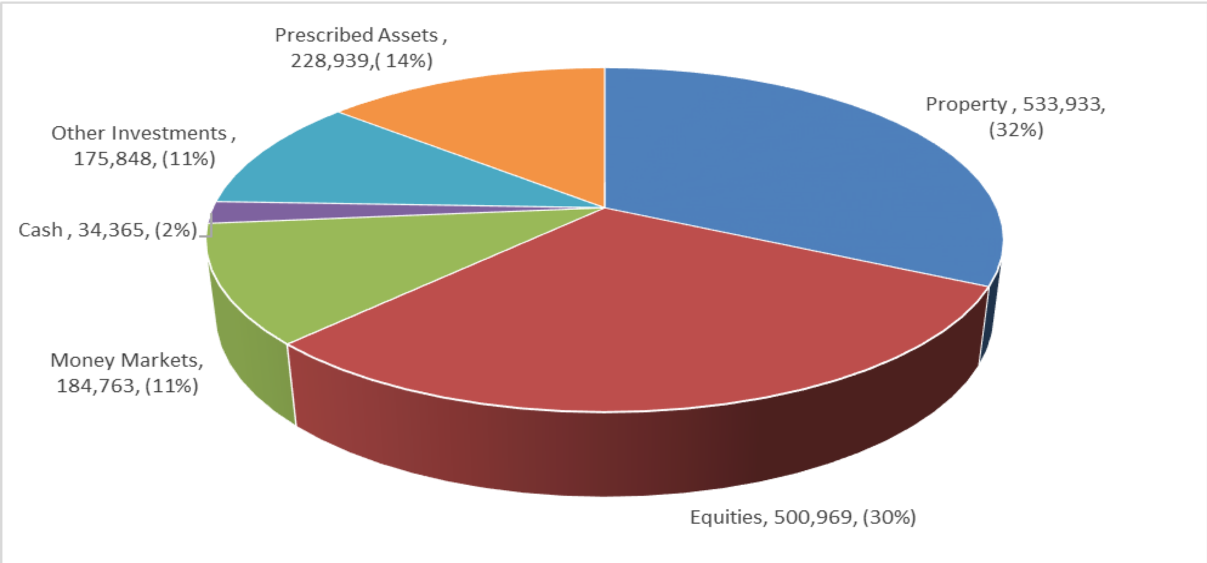
The life assurance sector recorded an aggregate net profit of USD14 million for the quarter ended 31 March 2017, representing a 33% decline from USD21 million in the comparative period in 2016. This was due to high claims incurred and business expenses. As a result, the combined ratio increased from 76% to close at 83% for the current reporting period as shown in table 1 above and annexure 3 below.

1.7. Asset Quality

1.7.1. Life Assurance assets composition

Equities and properties constitute 62% of the life industry total assets. Players are encouraged to be prudent in their asset spread strategies in order to manage investment risk. (See figure 5 below).

Figure 5: Life Assurance assets composition as at 31 March 2017

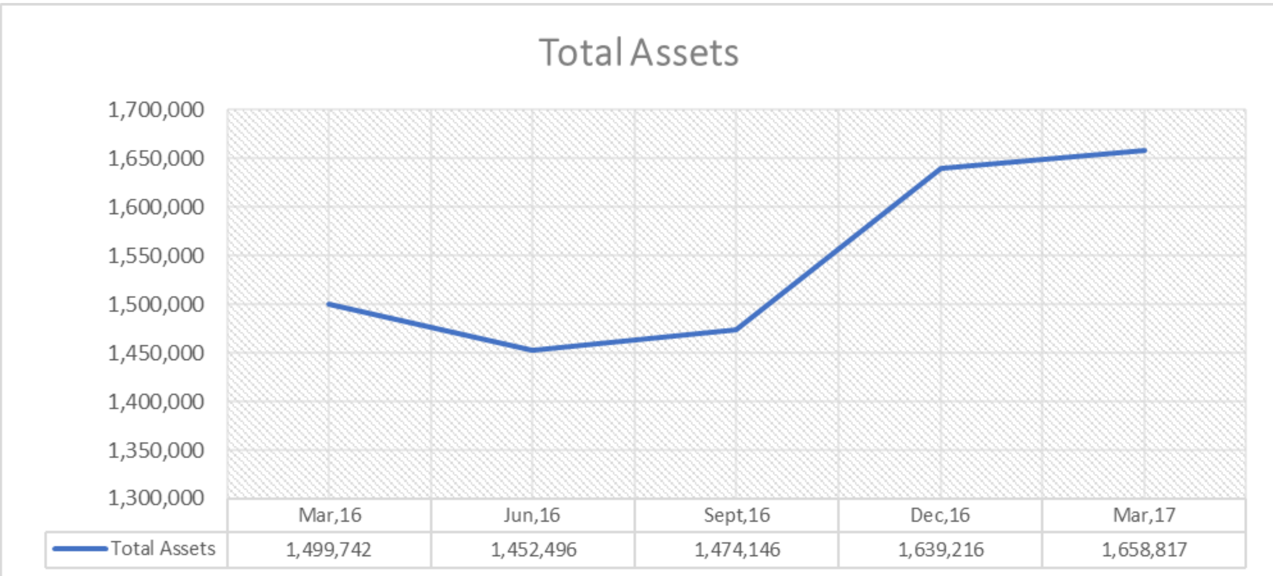


Please note from figure 5 above, other investments comprises of Plant and Equipment, receivables and unquoted shares.

1.7.2. Growth trend in Industry Asset Values

Total assets as at 31 March 2017 totalled USD 1,7 billion compared to USD 1,5 billion for the same period in 2016. This resulted in growth of 11% in the industry's combined asset base, which was due to uptake on prescribed assets and equities. (See figure 5 and annexure 5 below)

Figure 6: Trend in asset growth for the life assurance industry



1.7.3. Capital Adequacy

As at 31 March 2017, all operating life assurance companies were compliant with the prescribed minimum capital requirement of USD2 million. The majority of life assurers are geared towards the proposed new capital requirement effective next year. Players reported capital to liability ratio of 20% and a current ratio of 385% showing strong capacity to discharge their short-term obligations (See table 1 above and annexure 6 below).

1.7.4. Prescribed asset status

For the current reporting period, 7 players are fully compliant with the prescribed minimum prescribed ratio of 7.5% with the exception of Heritage, Getsure, ZB life and Zimnat. The Insurance and Pensions Commission will not hesitate to take regulatory action against non-compliant players. (See table 4 below)

Table 4: Life Insurers Prescribed Asset Ratio Status as at 31 March 2017

Insurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Variance in Compliance (%)
Old Mutual Life	151,194,305.00	1,164,473,867.00	12.98%	5.5%
CBZ Life	2,788,088.50	20,124,129.64	13.85%	6.4%
First Mutual Life	17,336,982.00	127,792,795.00	13.57%	6.1%
Fidelity Life	36,518,585.00	101,056,098.00	36.14%	28.6%
Heritage Life	-	4,780,958.00	0.00%	-7.5%
Nyaradzo Life	12,031,055.00	104,820,597.00	11.48%	4.0%
Getsure Life	155,730.00	5,094,566.00	3.06%	-4.4%
Econet Life	612,755.00	7,533,389.00	8.13%	0.6%
ZB Life	3,193,854.00	47,430,542.00	6.73%	-0.8%
Evolution Health and Life	295,411.00	3,834,519.00	7.70%	0.2%
Zimnat Life	5,097,259.14	71,874,120.02	7.09%	-0.4%
Total	**229,224,024.64**	**1,658,815,580.66**	**13.82%**	6.3%

PART B

LIFE REINSURANCE BUSINESS

2. Number of Operational Institutions

This report is based on a section of life reinsurance business and these reinsurers are composite reinsurers writing both short and long term business. As at 31 March 2017, there were four (4) life reinsurers namely Baobab Re, Grand Re, FBC Re and FM Re.

2.1. Reassurance Business Written

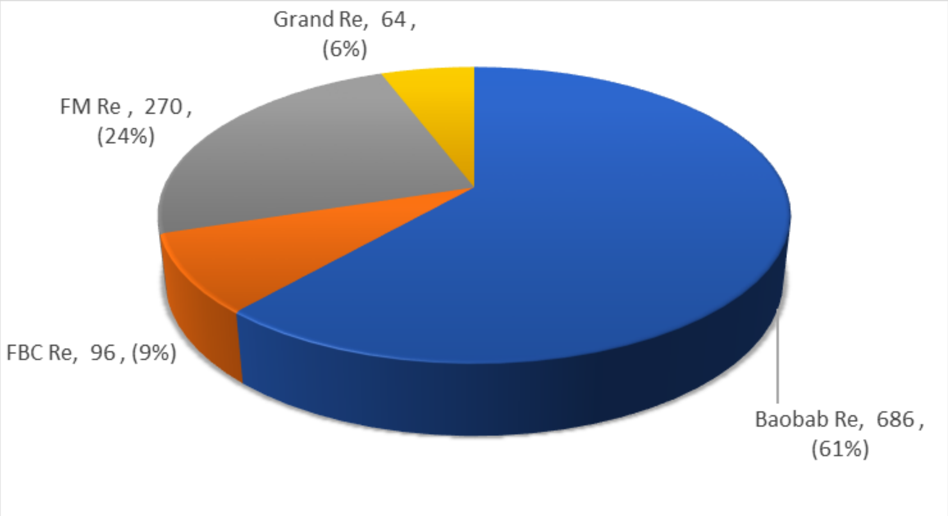
From the table below, reinsurers wrote business amounting to USD 1 million in premium income for the first quarter 2017. This sector reported a negative growth of 23% from the same period last year. This is attributable to the continued predominance of non-risk products in the industry namely investment business, retirement annuity policy but also low uptake of policy at risk. Slow growth of whole life, endowment policies and such policy with life cover now explain the general high retention by life assurance companies. (See table 2, below).

Table 5: Market Share by Net Premiums for the quarter ended 31 March 2017

	Mar-16	Mar-17	Growth
Baobab Re	734	686	-7%
FBC Re	42	96	129%
FM Re	668	270	-60%
Grand Re	-	64	100%
Total	1,444	1,116	-23%

Baobab Re and FML Re controlled 85% of the total premium income for the period under review. (See figure 7 below)

Figure 7: Market share for reinsurers for the quarter ended 31 March 2017



2.2. Cost Drivers

Total costs for reinsurers reduced by 33% from USD1.7 million in March 2016 to the current USD 1.1 million. This was mainly due to a 60% reduction in claims from the previous reported figure (See Table 6, below).

Table 6: Cost Drivers for the quarter ended 31 March 2017

Company	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	claims ratio	Combined ratio
Baobab Re	172	170	157	499	187	48%	25%	73%
FBC Re	148	5	24	177	-76	30%	154%	184%
FM Re	179	105	38	322	-52	53%	66%	119%
Grand Re	92	-	14	106	-86	22%	144%	166%
Totals	**591**	**280**	**233**	**1,104**	**(27)**	**46%**	**53%**	**99%**

2.3. Capitalization and Solvency Indicators

For the period under review, FM Re and Grand Reinsurance are undercapitalised. Players reported a current ratio of 184% reflecting decrease from 200% the previous year and a capital to liability ratio of 149%, which reflected an increase from 123% though there is capacity to meet current obligations on demand. All life reassurers are fully compliant with the current minimum capital requirement of US$2 million. (See table 7 below)

Table 7: Capitalisation, Solvency and Liquidity Indicators for the Life Reinsurers as at 31 March 2017

Item	Baobab Re			FBC Re			FM Re			Grand Re			Total		
	Mar-16	**Mar-17**	**%**	**Mar-16**	**Mar-17**	**%**	**Mar-16**	**Mar-17**	**%**	**Mar-16**	**Mar-17**	**%**	**Mar-16**	**Mar-17**	**%**
Current Assets	3,749	4,025	7%	15,435	13,302	-14%	1,330	1,322	-1%	-	95	0%	20,514	18,744	-9%
Total Assets	11,865	11,907	0%	20,911	22,166	6%	1,966	2,402	22%	-	105	0%	34,742	36,580	5%
Current Liabilities	863	496	-43%	8,627	9,022	5%	780	507	-35%		151	0%	10,270	10,176	-1%
Total Liabilities	6,032	4,558	-24%	8,627	9,022	5%	917	950	4%	-	151	0%	15,576	14,681	-6%
Capital	**5,833**	**7,349**	26%	**12,284**	**13,144**	7%	**1,049**	**1,452**	38%	-	**(46)**	0%	**19,166**	**21,899**	14%
Prescribed Assets	711	995	40%	-	1,184	0%	266	383	44%	-	-	0%	977	2,562	162%
Prescribed Assets Ratio	**6%**	**8%**	33%	**0%**	**5%**	0%	**14 %**	**16%**	14%	**0%**	**0%**	0%	**3%**	**7%**	133%
Current Ratio	434%	811%	87%	179%	147%	-18%	171%	261%	53%	0%	63%	0%	200%	184%	-8%
Capital to Liability Ratio	**97%**	**161%**	66%	**142%**	**146%**	3%	**114%**	**153%**	34%	**0%**	**-30%**	0%	**123%**	**149%**	21%

2.4. Asset Quality

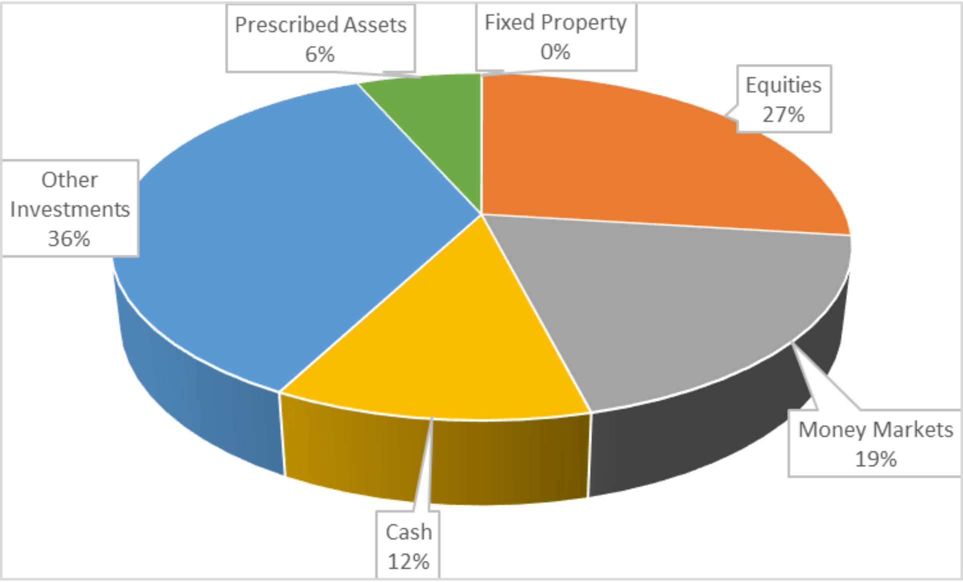
Total assets for the life re-assurers grew by 5% from $35 million at 31 March 2016 to USD 37 million. This was mainly due to improved performance in the stock market and revaluation of properties and trend by players to invest in near-liquid assets such as prescribed assets, cash and other investments (See Table 8 and Figure 8, below)

Table 8: Life Reassurers Total Assets as at 31 March 2017

Item	Baobab Re			FBC Re			FM Re			Grand Re			Total		
	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth
Fixed Property	-	-	0%	278	-	-100%	-	2	0%	-	10	100%	278	12	-96%
Equities	8,825	8,687	-2%	1,102	780	-29%	634	1,078	70%	-	-	0%	10,561	10,545	0%
Money Markets	658	1,112	69%	8,601	6,347	-26%	747	-	-100%	-	-	0%	10,006	7,459	-25%
Cash	42	109	160%	2,510	3,351	34%	54	1,058	1859%	-	38	100%	2,606	4,556	75%
Other Investments	1,630	1,998	23%	8,420	11,688	39%	265	263	-1%	-	57	100%	10,315	12,954	26%
Prescribed Assets	711	995	40%	-	1,184	100%	266	383	44%	-	-	0%	977	2,562	162%
Total Assets	**11,866**	**11,906**	**0%**	**20,911**	**22,166**	**6%**	**1,966**	**2,401**	**22%**	**-**	**105**	**100%**	**34,743**	**36,578**	**5%**

**other investments include Plant and Equipment, receivables and unquoted shares.*

Figure 8: Assets Composition for Life Reassurers as at 31 March 2017



2.5. Prescribed Assets

FBC Re and Grand Re were not fully compliant with the prescribed assets requirement. The Commission has engaged the affected to ensure compliancy (see table 9 below)

Table 9: Life Reassurers Prescribed Asset Ratio Status as at 31 March 2017

Reinsurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Variance in compliance%
Baobab Re	995.00	11,906.00	8.36%	0.9%
FBC Re	1,184.00	22,166.00	5.34%	-2.2%
FM Re	383.00	2,401.00	15.95%	8.5%
Grand Re	-	105.00	0.00%	-7.5%
Total	2,562.00	36,578.00	7.00%	-0.5%

CONCLUSION

Although there is a decline in industry premium income, the industry asset base is increasing mainly because of the performance of equities and an increase in demand for properties as market players are restructuring their assets in the wake of the currency risk. The industry was compliant in terms of the prescribed asset ratios. However, players are encouraged to continue to subscribe to new Government paper to maintain compliance and support Government's capital infrastructure development projects.

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ANNEXURES

ANNEXURE 1: Business Composition by Company for the quarter ended 31 March 2017

Company Name	Individual Life						Employee Benefits						Total		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-16	Mar-17	Growth (%)	Mar-16	Mar-17	Growth (%)	Mar-16	Mar-17	Growth (%)	Mar-16	Mar-17	Growth (%)	Mar-16	Mar-17	Growth (%)
CBZ Life	39	16	-59%	1,708	1,767	3%	-	514	100%	942	234	-75%	2,689	2,531	-6%
Econet Life	99	159	61%	1,042	1,710	64%	-	-	0%	91	115	26%	1,232	1,984	61%
Evolution Health & Life	39	17	-56%	246	118	-52%	-	-	0%	-	-	0%	285	135	0%
Fidelity Life Assurance	1,146	85	-93%	-	1,032	0%	-	-	0%	3,801	1,249	0%	4,947	2,366	0%
First Mutual Life	147	129	-12%	4,015	4,411	10%	1	-	-100%	4,222	3,355	-21%	8,385	7,895	-6%
Getsure Life Assurance	93	33	-65%	48	200	317%	6	96	1500%	29	61	110%	176	390	122%
Heritage Life	30	6	-80%	569	424	-25%	-	-	0%	9	10	11%	608	440	-28%
Nyaradzo Life Assurance	250	235	-6%	13,463	14,952	11%	10	12	20%	5,642	6,681	18%	19,365	21,880	13%
Old Mutual Life Assurance	1,053	302	-71%	3,659	4,406	20%	14,842	10,883	-27%	23,314	21,728	-7%	42,868	37,319	-13%
ZB Life Assurance	459	66	-86%	731	1,133	55%	-	53	0%	1,185	1,521	28%	2,375	2,773	17%
Zimnat Life Assurance	195	294	51%	1,274	1,674	31%	480	350	-27%	2,441	2,579	6	4,390	4,896	12%
Total	**3,550**	**1,342**	-62%	**26,755**	**31,827**	19%	**15,339**	**11,908**	**-22%**	**41,676**	**37,533**	-10%	**87,320**	82,610	-5%

ANNEXURE 2: Net premium distribution by Company for the quarter ended 31 March 2017.

Net Written Premium (NWP) Distribution by Company - 31 March 2017			
	NPW (USD 000)		
Name Of Company	Net Premium Written (NPW)		Growth
	Mar-16	Mar-17	(%)
CBZ Life	2,408	2,424	1%
Econet Life	1,154	1,823	58%
Evolution Health & Life	284	135	0%
Fidelity Life	4,832	2,278	0%
First Mutual Life	8,286	7,793	-6%
Getsure Life	175	378	116%
Heritage Life	604	437	-28%
Nyaradzo Life	19,365	21,880	13%
Old Mutual Life	42,288	36,839	-13%
ZB Life	2,275	2,642	16%
Zimnat Life	4,136	4,731	14%
Total	**85,807**	**81,361**	-5%

ANNEXURE 3: Key Income and Cost Indicators by Company for the quarter ended 31 March 2017

Company	Total Net Claims	Management and Admin Expenses	Commissions	Total Costs	Underwriting Profit and Loss	Expense Ratio	claims ratio	Combined ratio
CBZ Life	934	739	299	1,972	461	43%	39%	81%
Econet Life	1,152	559	0	1,711	159	31%	63%	94%
Evolution Health & Life	21	112	31	164	12	105%	16%	121%
Fidelity Life Assurance	1,055	1,181	134	2,370	-92	50%	46%	104%
First Mutual Life	3,014	2,460	375	5,849	1944	36%	39%	75%
Getsure Life Assurance	30	253	61	344	287	83%	8%	91%
Heritage Life	88	182	45	315	-8	52%	20%	72%
Nyaradzo Life Assurance	11,299	8,529	1793	21,621	5,505	47%	52%	99%
Old Mutual Life Assurance	27,007	4,122	443	31,572	5,266	13%	73%	86%
ZB Life Assurance	1,116	841	400	2,357	283	47%	42%	89%
Zimnat Life Assurance	878	1,366	503	2,747	1983	39%	19%	58%
Totals	46,594	20,344	4,084	71,022	15,800	30%	57%	87%

ANNEXURE 4: Life Insurers Gross Premium Written by Policy Type for the quarter ended 31 March 2017

	Annuities			Term Insurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			Other/GLA		
Company	**Mar-16**	**Mar-17**	**Growth (%)**	**Mar-16**	**Mar-17**	**Growth (%)**	**Mar-16**	**Mar-17**	**Growth (%)**	**Mar-16**	**Mar-17**	**Growth (%)**	**Mar-16**	**Mar-17**	**Growth (%)**	**Mar-16**	**Mar-17**	**Growth (%)**	**Mar-16**	**Mar-17**	**Growth (%)**	**Mar-16**	**Mar-17**	**Growth (%)**
CBZ Life	1,185	-	-100%	8	1,057	13113%	-	7	0%	-	-	0%	33	37	12%	1,463	1,430	-2%	-	-	0%	-	-	0%
Econet Life	-	-	0%	-	115	0%	-	-	0%	-	-	0%	91		-100%	1,141	1,868	64%	-	-	0%	-	-	0%
Evolution Health & Life	-	-	0%	-	-	0%	-	-	0%	-	-	0%	-	1	100%	285	134	-53%	-	-	0%	-	-	0%
Fidelity Life	21	25	19%	39.00	46	18%	66	97	47%	47	148	215%	87	127	46%	544	463	-15%	3,894	1249	-68%	249	211	-15%
First Mutual Life	2,391	1,322	-45%	825	931	13%	73	97	33%	-	-	0%	221	185	-16%	1,790	1,896	6%	1,685	1,637	-3%	1,401	1,829	31%
Getsure Life	-	-	0%	-	-	0%	-	-	0%	-	-	0%	156	-	-100%	20	104	420%	-	-	0%	-	285	100%
Heritage Life	8	2	-75%	-	-	0%	-	-	0%	17	-	-100%	1	-	-100%	567	436	-23%	5	-	-100%	10	1	-90%
Nyaradzo Life	-	-	0%	-	-	0%	-	-	0%	-	-	0%	-	-	0%	19,365	21,880	13%	-	-	0%	-	0	100%
Old Mutual Life	2,182	2,188	0%	-	-	0%	-	-	0%	-	-	0%	1,589	1,702	7%	1,067	897	-16%	32,398	27,079	-16%	5,632	5,454	-3%
ZB Life	26	30	15%	14	168	1100%	183	201	10%	104	466	348%	8	25	213%	125	310	148%	1,915	427	-78%	-	1,147	0%
Zimnat Life	-	95	0%	94	-	-100%	-	-	0%	-	-	0%	271	329	21%	628	1,106	76%	1,455	1,718	18%	1,942	1,650	-15%
Total	**5,813**	**3,662**	**-37%**	**980**	**2,317**	**136%**	**322**	**402**	**25%**	**168**	**614**	**265%**	**2,457**	**2,406**	**-2%**	**26,995**	**30,091**	**11%**	**41,352**	**32,110**	**-22%**	**9,234**	**11,008**	**19%**

ANNEXURE 5: Life Industry Asset Bases as at 31 March 2017

(values are in $000's)	Fixed Property			Equities			Money Markets			Cash			Other Investments			Prescribed Assets			Total Assets		
Co. Name	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth	Mar-16	Mar-17	Growth
CBZ Life	265	1,590	500%	-	-	0%	12,589	12,700	1%	593	1,419	139%	1,812	1,628	-10%	2,732	2,788	2%	17,991	20,125	12%
Econet Life	-	1265	100%	-	2,878	100%	1,526	1,443	-5%	1,328	700	-47%	1,608	634	-61%	1,598	613	-62%	6,060	7,533	24%
Evolution Health & Life	302	68	-77%	1,656	2,100	27%	172	-	-100%	2	4	100%	1,124	1,369	22%	100	295	195%	3,356	3,836	14%
Fidelity Life	19,195	18,353	-4%	26,734	27,534	3%	2,940	3,606	23%	667	106	-84%	42,014	15,223	-64%	4,475	36,234	710%	96,025	101,056	5%
First Mutual Life	13,130	7,921	-40%	25,202	21,417	-15%	8,718	11,099	27%	3,798	2,235	-41%	130,446	67,784	-48%	5,811	17,337	198%	187,105	127,793	-32%
Getsure Life	-	1,221	0%	-	2,559	0%	1,360	-	-100%	206	354	72%	641	805	26%	-	156	0%	2,207	5,095	131%
Heritage Life	727	154	-79%	1,273	2,085	64%	7	319	4457%	28	121	332%	1,787	2,102	18%	-	-	0%	3,822	4,781	25%
Nyaradzo Life	33,299	47,525	43%	645	2,373	268%	17,569	7,353	-58%	4,825	6,041	25%	18,325	29,497	61%	9,763	12,031	23%	84,426	104,820	24%
Old Mutual Life	404,765	429,677	6%	271,495	416,069	53%	144,874	122,825	-15%	7,642	21,435	180%	28,264	23,273	-18%	130,123	151,194	16%	987,163	1,164,473	18%
ZB Life	2,950	1,597	-46%	6,322	7,065	12%	2,828	4,421	56%	176	155	-12%	31,429	30,999	-1%	2,817	3,194	13%	46,522	47,431	2%
Zimnat Life	20,290	24,562	21%	11,590	16,889	46%	17,087	20,997	23%	1,396	1,795	29%	4,798	2,534	-47%	3,780	5,097	35%	58,941	71,874	22%
Total	**494,923**	**533,933**	**8%**	**344,917**	**500,969**	**45%**	**209,670**	**184,763**	**-12%**	**20,661**	**34,365**	**66%**	**262,248**	**175,848**	**-33%**	**161,199**	**228,939**	**42%**	**1,493,618**	**1,658,817**	**11%**

**other investments comprises of Property, Plant and Equipment, receivables and unquoted shares.*

ANNEXURE 6: Life insurers Capitalisation, Solvency & Liquidity Trends as at 31 March 2017

	Current Assets			Current Liabilities			Total Assets			Total Liabilities			Capital (Net Assets)			Capital to Liability (%)			Liquidity (Current) (%)		
Co. Name	Mar-16	Mar-17	%	Mar-16	Mar-17	%	Mar-16	Mar-17	%	Mar-16	Mar-17	%	Mar-16	Mar-17	%	Mar-16	Mar-17	%	Mar-16	Mar-17	%
CBZ Life	17,135	17,777	4%	3,424	4,647	36%	17,991	20,125	12%	4,829	4,626	-4%	13,162	15,498	18%	273%	335%	62%	500%	383%	-118%
Econet Life	3,308	5,676	72%	2,448	1,403	-43%	6,060	7,533	24%	2,448	1,404	-43%	3,612	6,129	70%	148%	437%	289%	135%	405%	269%
Evolution Health & Life	1,017	32	-97%	538	561	4%	3,356	3,835	14%	538	554	3%	2,818	3,281	16%	524%	592%	68%	189%	6%	-183%
Fidelity Life	30,496	36,057	18%	14,962	23,844	59%	96,025	101,056	5%	79,781	83,986	5%	16,244	17,070	5%	20%	20%	0%	204%	151%	-53%
First Mutual Life	19,121	15,393	-19%	17,602	3,007	-83%	187,105	127,793	-32%	117,423	115,503	-2%	69,682	12,290	-82%	59%	11%	-49%	109%	512%	403%
Getsure Life	2,037	1,018	-50%	315	497	58%	2,207	5,095	131 %	315	1,296	311 %	1,892	3,799	101%	601%	293%	-308%	647%	205%	-442%
Heritage Life	1,635	1,625	-1%	1,112	709	-36%	3,822	4,781	25%	1,261	1,386	10%	2,561	3,395	33%	203%	245%	42%	147%	229%	82%
Nyaradzo Life	50,482	48,629	-4%	6,838	3,772	-45%	84,426	104,821	24%	75,004	91,325	22%	9,422	13,496	43%	13%	15%	2%	738%	1289%	551%
Old Mutual Life	190,914	171,477	-10%	42,853	38,360	-10%	987,162	1,164,474	18%	869,633	1,002,196	15%	117,529	162,278	38%	14%	16%	3%	446%	447%	2%
ZB Life	3,558	6,472	82%	2,383	2,880	21%	46,522	47,431	2%	30,887	31,901	3%	15,635	15,530	-1%	51%	49%	-2%	149%	225%	75%
Zimnat Life	14,909	18,069	21%	2,880	4,009	39%	58,941	71,874	22%	41,406	51,115	23%	17,535	20,759	18%	42%	41%	-2%	518%	451%	-67%
Total	**334,612**	**322,225**	**-4%**	**95,355**	**83,689**	**-12%**	**1,493,617**	**1,658,817**	**11%**	**1,223,525**	**1,385,292**	**13%**	**270,092**	**273,525**	**1%**	**22%**	**20%**	**-2%**	**351%**	**385%**	**34%**

ANNEXURE 7: Movements in Circulars and Statutory Instruments

Statutory Instrument/ Circular	Subject	Date Gazetted
Circular 1 of 2017	Review of preserved employer's portion	24 Jan 2017
Circular 2 of 2017	Pension Commutation for retrenched employees.	27 Jan 2017
Circular 3 of 2017	Data collection exercise – Membership Information	3 Apr 2017
Circular 4 of 2017	Revised quarterly return template	24 Apr 2017
Circular 5 of 2017	Amendment of Fund Rules to comply with prescribed requirements.	25 Apr 2017
Circular 6 of 2017	Use of employees of registered Insurers, Banc assurance, Corporate agents and Consultants in transacting insurance business.	26 Apr 2017

ANNEXURE 8: Prescribed Assets Uptake Status (PAS) as at 31st March 2017

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Uptake ratios
ZB Financial Holdings 2015/2016 Agro bills	▪ The target amount was $5million at a coupon rate of 5%, ▪ intended to support the 2015/2016 agricultural season	$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%.
FBC & Agribank 2015/2016 Agrobills	▪ The target amount was $20million at a coupon rate of 10%, ▪ intended to support the 2015/2016 agricultural season	A total of US$20million raised from the market, representing 100% uptake of the Bills. **CLOSED**
IDBZ Series 2 2014B (US$50million)	▪ Refurbishment of Kariba South Power Station and Repowering of Harare Power Station. ▪ Bond has a tenor of 5 years at 9% coupon rate.	Bond fully subscribed as at 02 September 2016. Of the 50million raised, $45.3million (90.6% of the total issue) was raised from the pension and insurance industry. **CLOSED**
Agricultural Marketing Authority (AMA Bills)	▪ Finance the purchase of grain by the Grain Marketing Board	Bond Fully repaid in June 2016.**CLOSED**

	▪ $50million at a coupon rate of 10.5%p.a	
Homelink	▪ Development of stands and construction of housing units ▪ Initial bond amount of $15m. However the applicant is targeting to raise $50million to complete the project.	No update at the moment on uptake
NMB	▪ A $10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years ▪ **Purpose**: Mortgage Loan facility for low income earners	Application was approved. No update from the issuer on its current availability.
Honde Hydro Power Consolidated	▪ Bond amount of $5million with a coupon rate of 8.5% to 9%, with a tenor of 5years ▪ **Purpose**: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13th of May 2016. No update from the issuer on its current availability.
IDBZ Series 1 2015B	▪ $5million bond at a coupon rate of 9.5% with a tenor of 5 years ▪ **Purpose:** To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13th of May 2016. No update from the issuer on its current availability.
Agribank and FBC, 2016/2017 Agrobills	▪ Bond amount of US$20million, coupon rate negotiable on private placement. ▪ **Purpose**: is to finance the 2016/2017 agricultural season.	Application approved on the 27th of July 2016 and is now open for subscription**. Fully subscribed and is closed.**
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	▪ Bond amount of $15million at 7% per annum ▪ **Purpose:** to finance ZETDC Pre-Paid Meters	Application approved on the 27th of July 2016 and is now open for subscription. **Availabl**e
Agricultural Marketing Authority (AMA) Bills being arranged by CBZ	▪ Bills issue of $50million at a coupon rate of 8.5% for a tenor of 360 days. ▪ Government Guarantee as security ▪ **Purpose:** to capacitate GMB to procure up to 100,000 metric tonnes of maize and 22000 metric tonnes of wheat	Application approved on the 9th of September 2016 and is now open for subscription. **Available**
Agribank 2016/2017 Agrobills	▪ US$5million, with a coupon rate that is negotiable on private	Application approved on the 23rd of December 2016 and is open for

	placement ▪ Government Guarantee as security ▪ **Purpose**: is to finance the 2016/2017 agricultural season	subscription. **Available**
IDBZ Housing Bond (Empumalanga West Housing Project)	▪ Bond issue of $5.8million at a coupon rate of 8.5% p.a with a tenor of 7 years ▪ **Purpose:** financing of the Empumalanga West Housing Project. ▪ Government Guarantee as security	Application was approved on the 28th of December 2016 and is open for subscription. US$1 million have so far been raised. **Available**
ZB 2016/2017 Agrobills	▪ Agrobills amounting to $10 million, at a coupon rate of 6.5% with a tenor of one year. ▪ **Purpose:** to finance the 2016/2017 agricultural season.	Application approved on the 13th of February 2017 and is open for subscription. **Available**
IDBZ Housing Bond (Sumben Housing Project)	▪ Bond Issue of $12.1 million at a coupon rate of 8.5% p.a with a tenor of 7 years inclusive of 2 years grace period. ▪ **Purpose:** Financing of the Sumben Housing Project in Harare. ▪ Government Guarantee as security.	Application was approved on 28 April 2017 and it is open for subscription. **Available**
Jinmac Zim Cotton	▪ Bond issue of $2.5 million at a coupon rate of 10% p.a with a tenor of 10 years inclusive of 1 year grace period. ▪ **Purpose:** to finance the purchase of cotton ginnery machinery and financing business operations ▪ Sister companies of Jinmac Zim Cotton acted as guarantors	Management has made recommendations and is waiting for response. **Not Yet Available**
Metbank (Command Agriculture)	▪ Bond issue of US$30 million. ▪ **Purpose:** To finance fertilizer producers for the winter wheat season (Command Agriculture)	Application is still work in progress and the Commission have asked for further information. The PAS application is still at concept paper stage. **Not Yet Available**